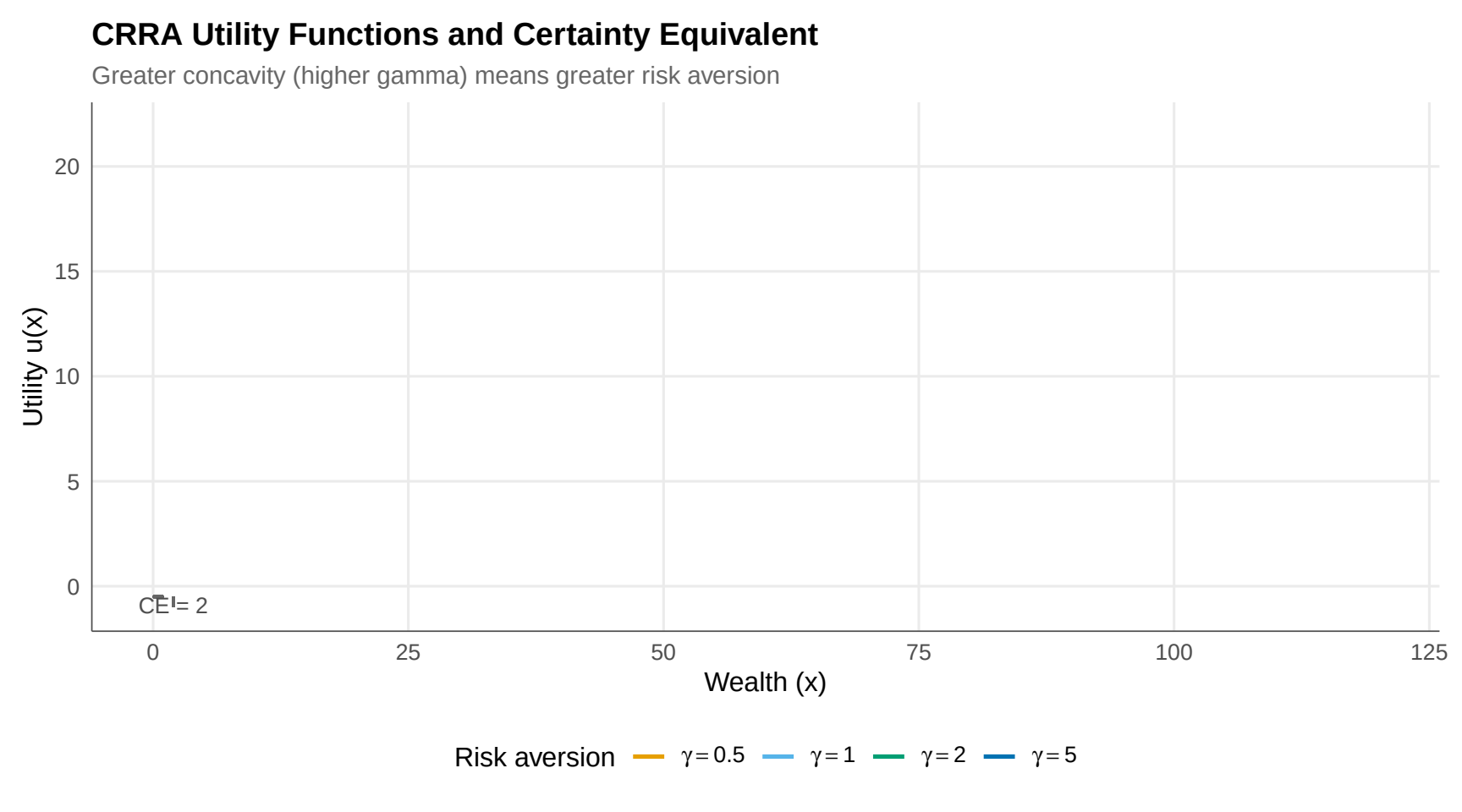
CRRA Utility Functions and Certainty Equivalent
Greater concavity (higher gamma) means greater risk aversion
Utility u(x)
20
15
10
5
0
CE = 2
0
25
50
75
100
125
Wealth (x)
Risk aversion
γ = 0.5
γ = 1
γ = 2
γ = 5